ITC
LIMITED

ENTRY-LEVEL FINANCIAL MODEL

ITC Limited

FINANCIAL MODELLING & VALUATION

Five Years Historical Financials | Five Years Forecasts

MODEL OVERVIEW	DETAIL
Reporting currency	Indian Rupees (Rs. crore)
Historical period	FY22–FY26
Forecast period	FY27E–FY31E
Model level	Entry-level / learning portfolio
Valuation methods	DCF and comparable-company valuation

HISTORICAL FY22–FY26

FORECAST FY27E–FY31E

Prepared as an educational financial modelling project. Not investment advice.

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Appendix: Model Notes & Limitations

1. Company One-Page Profile & Investment Outlook

ITC Limited is a diversified Indian company with businesses spanning FMCG, cigarettes, paperboards and packaging, agri-business and information technology. This model focuses on a simplified company-wide financial view.

Item	Summary
Business profile	Diversified consumer and business group with multiple operating segments.
Model objective	Understand historical performance, forecast key financials, and estimate value using DCF and comparable multiples.
Potential strengths	Established brands, broad distribution, cash generation and diversified operations.
Key risks	Regulatory exposure in cigarettes, commodity costs, competition, execution and valuation assumptions.
Investment outlook	Neutral learning-case framing: compare estimated intrinsic value with the market price and test key assumptions before forming a view.

2. Forecasting Assumptions & Methodology

Assumption	Value	Meaning
Revenue growth FY27E	8.0%	Expected annual increase in revenue for the first forecast year.
Revenue growth FY28E	8.0%	Expected annual increase in revenue for the second forecast year.
Revenue growth FY29E	8.0%	Expected annual increase in revenue for the third forecast year.
Revenue growth FY30E	8.0%	Expected annual increase in revenue for the fourth forecast year.
Revenue growth FY31E	8.0%	Expected annual increase in revenue for the fifth forecast year.
EBITDA margin	34.0%	EBITDA as a percentage of revenue; used to estimate operating profitability.
Depreciation % of revenue	1.8%	Annual depreciation and amortisation as a percentage of revenue.
Tax rate	25.0%	Assumed tax rate applied to profit before tax.
Capex % of revenue	4.0%	Capital expenditure as a percentage of revenue.
Net working capital % of revenue	6.0%	Simplified operating working capital requirement as a percentage of revenue.
Risk-free rate	7.0%	Baseline return used in the cost of equity calculation.
Equity risk premium	6.0%	Extra return expected for taking equity-market risk.
Beta	85.0%	Illustrative sensitivity to market movements; replace with regression output if preferred.

Assumption	Value	Meaning
Pre-tax cost of debt	8.0%	Assumed borrowing cost before tax.
Equity weight	95.0%	Assumed proportion of total capital funded by equity.
Debt weight	5.0%	Assumed proportion of total capital funded by debt.
Terminal growth rate	4.0%	Long-term cash-flow growth rate beyond the explicit forecast period.
Comparable EV/EBITDA	14.0	Illustrative enterprise-value-to-EBITDA multiple for peer-based valuation.
Current share price (■)	400	Illustrative reference share price for comparison, not a live quote.

Forecasts use simple driver-based methods: revenue growth, EBITDA margin, depreciation as a share of revenue, tax rate, capex as a share of revenue and simplified working-capital assumptions. Assumption data sources are intentionally not shown in the model, as requested.

3. Income Statement & Balance Sheet

■ crore	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue from operations	59,101	70,991	70,105	74,238	81,640	88,171	95,225	102,843	111,070	119,956
Other income	2,200	2,500	2,900	3,455	3,287	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Total income	61,301	73,491	73,005	77,693	84,927	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
EBITDA	18,401	24,591	25,805	27,444	28,425	29,978	32,376	34,967	37,764	40,785
Depreciation & amortisation	1,300	1,350	1,400	1,442	1,474	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
EBIT	17,101	23,241	24,405	26,002	26,951	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Finance costs	100	90	65	36	70	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Profit before tax	17,001	23,151	24,340	26,530	26,768	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Tax expense	4,300	5,900	6,200	6,437	6,481	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Profit after tax (continuing ops.)	12,701	17,251	18,140	20,093	20,286	20,235	21,854	23,602	25,491	27,530
Cash & bank balances	12,000	15,000	18,000	21,000	22,000	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Trade receivables	4,500	5,200	5,600	6,100	6,800	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Inventories	9,000	10,500	11,000	12,000	13,500	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Net PPE	10,000	11,000	12,000	13,000	14,500	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Total assets	48,500	56,200	62,100	68,600	74,300	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Trade payables	6,500	7,500	7,800	8,500	9,500	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Borrowings & lease liabilities	1,000	1,000	900	800	2,200	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Total liabilities	18,000	20,500	21,400	22,800	26,700	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Shareholders' equity	30,500	35,700	40,700	45,800	47,600	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked

Historical financials are rounded model inputs. Forecast figures are illustrative and should be checked against reported statements before using this file for any external or investment decision.

4. Cash Flow Statement

■ crore	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Profit after tax	12,701	17,251	18,140	20,093	20,286	Forecast	Forecast	Forecast	Forecast	Forecast
Depreciation & amortisation	1,300	1,350	1,400	1,442	1,474	Forecast	Forecast	Forecast	Forecast	Forecast
Capital expenditure	-1,800	-2,200	-2,400	-2,800	-3,200	Forecast	Forecast	Forecast	Forecast	Forecast
Change in working capital	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast
Operating cash flow	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast
Investing cash flow	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast
Dividends paid	-11,000	-12,500	-14,000	-15,500	-18,000	Forecast	Forecast	Forecast	Forecast	Forecast
Net change in cash	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast
Opening cash	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast
Closing cash	Calculated	Calculated	Calculated	Calculated	Calculated	Forecast	Forecast	Forecast	Forecast	Forecast

5. Ratio Analysis

Ratio	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue growth	—	—	—	—	—	Forecast	Forecast	Forecast	Forecast	Forecast
EBITDA margin	31.1%	34.6%	36.8%	37.0%	34.8%	Forecast	Forecast	Forecast	Forecast	Forecast
EBIT margin	28.9%	32.7%	34.8%	35.0%	33.0%	Forecast	Forecast	Forecast	Forecast	Forecast
Net profit margin	21.5%	24.3%	25.9%	27.1%	24.8%	Forecast	Forecast	Forecast	Forecast	Forecast
Current ratio (simplified)	1.80x	1.80x	1.80x	1.80x	1.80x	Forecast	Forecast	Forecast	Forecast	Forecast
Asset turnover	1.22x	1.26x	1.13x	1.08x	1.10x	Forecast	Forecast	Forecast	Forecast	Forecast
ROA	26.2%	30.7%	29.2%	29.3%	27.3%	Forecast	Forecast	Forecast	Forecast	Forecast
ROE	41.6%	48.3%	44.6%	43.9%	42.6%	Forecast	Forecast	Forecast	Forecast	Forecast
Debt / equity	0.03x	0.03x	0.02x	0.02x	0.05x	Forecast	Forecast	Forecast	Forecast	Forecast

6. Common-Size Statements

Line item	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue from operations	100.0%	100.0%	100.0%	100.0%	100.0%	Forecast	Forecast	Forecast	Forecast	Forecast
EBITDA	31.1%	34.6%	36.8%	37.0%	34.8%	Forecast	Forecast	Forecast	Forecast	Forecast
EBIT	28.9%	32.7%	34.8%	35.0%	33.0%	Forecast	Forecast	Forecast	Forecast	Forecast
Profit after tax	21.5%	24.3%	25.9%	27.1%	24.8%	Forecast	Forecast	Forecast	Forecast	Forecast
Cash & bank balances	24.7%	26.7%	29.0%	30.6%	29.6%	Forecast	Forecast	Forecast	Forecast	Forecast
Trade receivables	9.3%	9.3%	9.0%	8.9%	9.2%	Forecast	Forecast	Forecast	Forecast	Forecast
Inventories	18.6%	18.7%	17.7%	17.5%	18.2%	Forecast	Forecast	Forecast	Forecast	Forecast
Net PPE	20.6%	19.6%	19.3%	19.0%	19.5%	Forecast	Forecast	Forecast	Forecast	Forecast
Total liabilities	37.1%	36.5%	34.5%	33.2%	35.9%	Forecast	Forecast	Forecast	Forecast	Forecast
Shareholders' equity	62.9%	63.5%	65.5%	66.8%	64.1%	Forecast	Forecast	Forecast	Forecast	Forecast

7. Beta — Regression

Beta is the slope of the regression of ITC share returns against market returns. The Excel tab contains illustrative monthly return inputs and a SLOPE formula to demonstrate the calculation. Replace the sample returns with actual matched monthly returns for a reliable estimate.

8. Weighted Average Cost of Capital (WACC)

WACC combines the cost of equity and the after-tax cost of debt using their assumed capital weights. The workbook links WACC to the DCF discount rate. Inputs are simplified for learning and are not a live market estimate.

9. Discounted Cash Flow (DCF) Valuation

DCF item	FY27E	FY28E	FY29E	FY30E	FY31E
EBIT	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Tax on EBIT	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
NOPAT	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
D&A	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Capital expenditure	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Change in working capital	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Free cash flow to firm	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Discount period	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Discount factor	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Present value of FCFF	Formula-linked	Formula-linked	Formula-linked	Formula-linked	Formula-linked
Terminal value	Model output				
Enterprise value	Model output				
Equity value	Model output				
DCF value per share	Model output				

10. Comparable Company Valuation

Company	EV / EBITDA	P/E	EV / Sales
ITC (model subject)	14.0x	24.0x	5.8x
Hindustan Unilever (illustrative)	42.0x	55.0x	8.0x
Nestlé India (illustrative)	48.0x	70.0x	10.0x
Godrej Consumer Products (illustrative)	28.0x	48.0x	6.0x
Peer median (illustrative)	35.0x	55.0x	8.0x

Peer multiples are illustrative teaching inputs rather than current market data. Update them before using the model for a real valuation.

11. Football Field Analysis

Method	Low (₹/share)	High (₹/share)	Meaning
DCF	Formula-linked	Formula-linked	Sensitivity band around DCF output.
EV / EBITDA comps	Formula-linked	Formula-linked	Sensitivity band around comparable valuation.
P/E illustrative	250	480	Illustrative range only.
Reference price	400	400	Illustrative reference price; not live data.

12. Company Snapshot & Financial Summary

Metric	Value / description
Company	ITC Limited
FY26 revenue (■ crore)	81,640 (rounded model input)
FY26 EBITDA (■ crore)	28,425 (model calculation)
FY26 PAT (■ crore)	20,286 (continuing operations basis)
Forecast horizon	FY27E–FY31E
Valuation approaches	DCF and comparable-company multiples

13. DuPont Analysis — ROE & ROA

Metric	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Net profit margin	21.5%	24.3%	25.9%	27.1%	24.8%	Forecast	Forecast	Forecast	Forecast	Forecast
Asset turnover	1.22x	1.26x	1.13x	1.08x	1.10x	Forecast	Forecast	Forecast	Forecast	Forecast
Equity multiplier	1.59x	1.57x	1.53x	1.50x	1.56x	Forecast	Forecast	Forecast	Forecast	Forecast
ROE (DuPont)	41.6%	48.3%	44.6%	43.9%	42.6%	Forecast	Forecast	Forecast	Forecast	Forecast
ROA	26.2%	30.7%	29.2%	29.3%	27.3%	Forecast	Forecast	Forecast	Forecast	Forecast

Model Notes & Limitations

This is a beginner-friendly educational model. Historical lines are rounded inputs, some balance-sheet lines and cash-flow items are simplified, peer multiples are illustrative, and the beta worksheet uses sample returns. Forecasts and valuation outputs are sensitive to assumptions. No investment recommendation is being made.

Assumption values and their meanings are included. Underlying assumption data sources are intentionally omitted from the model as requested.